The Credibility Gap: How Turkey’s Central Bank Lost and Tried to Reclaim Monetary Authority

Ege Umut Can

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When a central bank raises interest rates, the usual expectation is that inflation will fall. That expectation rests on something more basic than the rate decision itself: markets and households have to believe that the bank is able and willing to follow through. I became interested in the Turkish case because it shows what happens when that belief disappears. My conclusion is that Turkey’s inflation crisis was caused less by one wrong interest rate than by years of damage to the central bank’s credibility.

Between July 2019 and June 2023, Turkey replaced four central bank governors, and none of them completed a full term (Reuters, 2024). Each change told markets that monetary policy was being shaped by political preference as well as by economic analysis. The clearest example came in March 2021. Governor Naci Ağbal had raised the policy rate to 19% on 18 March, and he was dismissed two days later. When markets opened on 22 March, the lira fell by as much as 15% against the dollar before recovering part of the loss (Al Jazeera, 2021). The governors who followed cut rates while inflation was rising, in line with the view, repeated in official statements, that high interest rates cause inflation rather than reduce it.

The results were severe. In the second half of 2021 the lira collapsed, reaching about 18.4 per dollar in December and losing 44% of its value over the year (Gulf News, 2022). Annual consumer price inflation peaked at 85.5% in October 2022 (Daily Sabah, 2022). The size of the collapse matters, but what interests me more is that interest rates alone cannot explain it. Once markets stopped believing that the central bank would act on economic logic, even sensible policy steps were not enough. Expectations had come loose, and they kept pushing inflation up whatever the bank announced.

This reflects a central idea in modern macroeconomics: monetary policy works through expectations as well as through interest rates. When people believe a central bank will bring inflation down, they moderate wage demands and price increases, and that behaviour itself helps inflation fall. When credibility is missing, the same mechanism runs in reverse. People expect high inflation, set wages and prices accordingly, and inflation stays high even after rates rise. Between 2021 and 2023, Turkey was a clear example of the second case.

After the 2023 elections, economic policy turned back towards orthodox methods. Interest rates were raised sharply, and the government signalled a return to mainstream economic reasoning. These were real steps. But credibility is not rebuilt in a single policy cycle. It needs years of consistent behaviour, consistent communication and protection of monetary policy from political pressure. The weaknesses that allowed credibility to collapse in the first place, such as limited central bank independence and politicised appointments, have not been fully addressed, so whether the recovery lasts is still an open question.

The Turkish case has a lesson beyond Turkey. Setting interest rates is a technical task, but it only works inside an institution that people trust. A central bank whose independence is in doubt finds that even its technically correct decisions do not have the effect they should. For that reason I think institutional credibility should be treated as part of monetary policy itself, not as a background condition.

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